1-2a Characteristics of Financial Information

The primary goal of financial accounting is to provide information that is useful for decision making. To be useful, financial reports must possess two important characteristics: *relevance* and *faithful representation*.

- **Relevant** (A characteristic of financial reports that pertains to information having the potential to impact decision making.)
  information has the potential to impact decision making.
- **Faithful representation** (A characteristic of financial reports that pertains to information accurately reflecting an entity's economic activity or condition.)
  means that the information accurately reflects an entity's economic activity or condition.

The characteristics of relevant and faithful representation are enhanced by the following:

- **Comparability** (A secondary characteristic of financial information; comparability includes consistent reporting, that allows users to identify similarities and differences among reported items.)
  , which includes consistent reporting, allows users to identify similarities and differences among reported items.
- **Verifiability** (A secondary characteristic of financial information that allows users to agree on the meaning of reported items.)
  allows users to agree on the meaning of reported items.
- **Timeliness** (A secondary characteristic of financial information that requires distribution of financial reports in time to influence a user's decision.)
  requires distribution of financial reports in time to influence a user's decision.
- **Understandability** (A secondary characteristic of financial information that requires clear and concise financial reports that facilitate user interpretation and analysis.)
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Business Insight

Covid-19 Pandemic

The coronavirus (COVID-19) pandemic is causing significant disruptions to companies and their business operations in the United States and throughout the world. As a result, the Financial Accounting Standards Board (FASB) has delayed the effective date of several accounting standards and is considering how to apply generally accepted accounting principles (GAAP) to a variety of issues generated by the pandemic. For example, companies with less than 500 employees may have received payroll loans under the Payroll Protection Program (PPP). Some or all of these loans may be forgiven if certain conditions are met. Currently, GAAP does not have specific guidance on the accounting and disclosures for this type of government assistance.